VERREX, LLC.
1130 Route 22 West,
Mountainside, NJ 07092

CLOSING DATE
July 20, 2016

PURCHASE PRICE
$13,500,000*

TTM 6/30/16 REVENUE
$38,248,902

TTM 6/30/16 EBITDA
$3,420,127

TTM EBITDA MARGIN
8.9%

MULTIPLE
3.95x

STAGE/TRANSACTION TYPE
Buyout and Merger

GEOGRAPHY
Middle Atlantic (NJ, PA, NY)
New Jersey

INDUSTRY
NAICS Code 519190, All Other Information Services

REFERRAL SOURCE
Diamond States Capital

RECOMMENDING DIRECTORS
Kevin Mullane and Kirk Kaalberg

VERREX
Global Conferencing & Communication Solutions

*Total funding at close was $15,050,00 and included $1,150,000 in closing fees and $400,000 funded for cash on the balance sheet

AAVIN
PRIVATE EQUITY

INVESTMENT SUMMARY

BUSINESS SUMMARY

Verrex, LLC ("Verrex" or the "Company") is a global design-build integrator and managed services provider of complex audio and video communication technologies, helping companies connect through video conferencing, audio conferencing, collaboration, presentation, training, video display and AV/IT integrated communication systems. Verrex Corporation was founded in 1947, and is located in Mountainside New Jersey. The Company conducts business in North America, Canada, United Kingdom, Hong Kong, China, Singapore, Japan, and Australia.

FINANCING

Investors partnered with the 3rd generation owner and CEO, Thomas G Berry, IV, to recapitalize the Company in order to purchase the second Berry generation's ownership stake.

Five Crowns Capital lead the transaction to purchase the stock of Verrex Corporation. The purchase price was $13,500,000. $1, 150,000 was paid in closing fees and $400,000 was funded for cash on the balance sheet, making the total funding at close $15, 050,000. Five Crowns acted as the equity sponsor, and Diamond State Capital, Mid-States Capital, and Aavin (Aavin Mezzanine Fund, and Aavin Equity Partners II) made up the investor group. The investor group received a 2% closing fee, and Five Crowns Capital recieved a closing and equity sponsor fee.

AAVIN INVESTMENT

Aavin invested a total of $2,000,000 in this transaction, with a majority of the investment in subordinated debt. The Subordinated debt matures in 5 years and has a 14% interest rate. Aavin purchased 7,500 Class A Membership units for $750,000, which represents a total 15.68% of the fully diluted ownership. The Class A Membership Units represent Verrex's preferred equity which has an 8% annual internal rate of return, compounded monthly on a 360-day basis. Aavin holds one board seat on the Company's Board of Managers with the option for an observer.

	Ownership %	Total Investment	Subordinated Debt	Preferred Equity
AEP II	4.53	$578,076	$361,298	$216,778
AMF	11.15	1,421,924	888,702	*533,222
TOTAL	15.68%	$2,000,000	$1,250,000	$750,000

*AMF holds its Class A Membership Units through a wholly-owned blocker corporation- Aavin Verrex, Inc.

MANAGEMENT

The Company continues to be run by Thomas G Berry IV and the management team that was in place prior to the transaction.